APPENDIX G42
Form of Noise Barrier Works Subcontractor's Warranty for Noise Barrier
[PS Clause 27.02]

THE DEED OF AGREEMENT

is made the [ ] day of [ ] [ ]

BETWEEN:

(1) [ ] [whose registered office is at] / [of]
[ ] (the Noise Barrier Works Subcontractor); and

(2) The Government of the Hong Kong Special Administrative Region (the *Client*).

WHEREAS

(A) By a contract no. (the contract) made between the *Client* and (the *Contractor*) and dated the [ ] day of [ ] [ ] the *Contractor* agreed to execute and complete certain works as more particularly described in the contract relating to _____(the *works*) upon the terms and conditions contained in the contract.

(B) The Noise Barrier Works Subcontractor has had an opportunity of reading and noting the provisions of the contract (save for those parts of a confidential commercial nature).

(C) By a contract dated [ ] (the subcontract) made between the *Contractor* and the Noise Barrier Works Subcontractor, the Noise Barrier Works Subcontractor agreed to *design, manufacture, supply and *construct and *supervise the Noise Barrier Works forming part of the *works*. The Noise Barrier Works are defined in the Particular Specification.

(D) Pursuant to the terms of the contract, the *Contractor* agreed to procure the provision of a warranty on the terms and conditions now set out and executed by the Noise Barrier Works Subcontractor.

(E) At the request of the *Contractor*, the Noise Barrier Works Subcontractor agreed to provide this warranty.

NOW IT IS HEREBY AGREED AS FOLLOWS :

1. The Noise Barrier Works Subcontractor hereby warrants and undertakes to the *Client* that:

   (a) it has executed and completed and will execute and complete the [ ] [depends on services provided in respect of the Noise Barrier Works] of the Noise Barrier Works, and it has carried out and will carry out each and all of the obligations, duties and undertakings of the Noise Barrier Works Subcontractor under the subcontract when and if such obligations, duties and undertakings shall become due and performable, in accordance with the terms of the subcontract (as the same may from time to time be varied or amended with the consent of the *Client*); and

   (b) it will supply the *Client* with all information as the *Client* may reasonably require from time to time in relation to progress of the [ ] [depends on services provided in respect of the Noise Barrier Works] construction of the Noise Barrier Works.

2. Without limiting the Noise Barrier Works Subcontractor's obligations and liabilities under Clause 4 hereof, the Noise Barrier Works Subcontractor undertakes to indemnify the *Client* against each and

every liability which the *Client* may have to any person whatsoever and against any claims, demands, proceedings, loss, damages, costs and expenses sustained, incurred or payable by the *Client* provided that the Noise Barrier Works Subcontractor shall have no greater liability to the *Client* by virtue of its undertaking under this Clause 2 than the liability of the *Contractor* to the *Client* under the contract in so far as and to the extent that the same has arisen by reason of any breach by the Noise Barrier Works Subcontractor of its obligations, duties and undertakings under the subcontract.

3. Without prejudice to the generality of Clauses 1 and 2 hereof, the Noise Barrier Works Subcontractor further warrants:-

(a) that the [ ] [depends on services provided in respect of the Noise Barrier Works] of the Noise Barrier Works shall be suitable for use as part of the *works*;

(b) that the [ ] [depends on services provided in respect of the Noise Barrier Works] of the Noise Barrier Works shall conform to the performance requirements set out in the Particular Specification for a period of 10 calendar years commencing from the date of Completion stated in the certificate of Completion of the *works* issued pursuant to the provisions of the contract;

(c) that the materials, goods and workmanship supplied by the Noise Barrier Works Subcontractor in connection with the Noise Barrier Work shall be and remain of good quality and be fit for the purposes for which they are intended; and

(d) that all reasonable skill, care and diligence has been and will be exercised in connection with the design of the Noise Barrier Works (if the design is carried out by the Noise Barrier Works Subcontractor).

4. (a) The Noise Barrier Works Subcontractor undertakes that in the event of a failure or defect in the Noise Barrier Works discovered at any time during the period referred to in Clause 3(b), it shall as soon as reasonably practicable after receipt of notification by the *Client*, carry out at its own cost all repair or replacement work including emergency and Temporary Works which is necessary in the opinion of the *Client* to ensure that the Noise Barrier Works conforms to the warranties set out in Clause 3 hereof. All repair or replacement work including emergency and Temporary Works shall be carried out by the Noise Barrier Works Subcontractor at times as specified by the *Client* so as not to interfere with the proper use and functioning of the completed *works*. In the event that such repair or replacement work is not carried out by the Noise Barrier Works Subcontractor in accordance with this Clause 4(a), the *Client* may, without prejudice to any other remedy, proceed to carry out such work by its own workers or by other contractors and the cost properly incurred by the *Client* in having such work carried out shall be a debt due to the *Client* from the Noise Barrier Works Subcontractor and shall be paid to the *Client* by the Noise Barrier Works Subcontractor immediately on demand.

(b) The Noise Barrier Works Subcontractor undertakes to indemnify the *Client* against all losses and claims for injury or damage to any person or property whatsoever which may be caused by any failure or defect in the Noise Barrier Works to conform to the warranties set out in Clause 3 hereof and against all claims, demands, proceedings, damages, costs, charges and expenses whatsoever in respect thereof or in relation thereto.

(c) The Noise Barrier Works Subcontractor undertakes to make good or, at the option of the *Client*, pay to the Client the cost of making good any damage, loss or injury which may occur to any property of the Client and undertakes to recompense the *Client* in respect of any damage, loss or injury which may occur to any employee of the *Client* caused by any failure or defect in the Noise Barrier Works to conform to the warranties set out in Clause 3 hereto in the Noise Barrier Works.

(d) Provided that nothing in Clause 4(b) and (c) shall be deemed to render the Noise Barrier Works Subcontractor liable for or in respect of or to indemnify the *Client* against any compensation or damages for or with respect to:

(i) failure or defect in the Noise Barrier Works caused by work which was not constructed by the Noise Barrier Works Subcontractor, or

(ii) failure or defect in the Noise Barrier Works caused by repair, maintenance or alteration to the Noise Barrier Works (other than the repair or replacement work carried out by the *Client*'s own workers or other contractors in accordance with Clause 4(a) hereof) done after the date of Completion stated in the certificate of Completion of the *works* issued pursuant to the provisions of the contract by persons other than the Noise Barrier Works Subcontractor or its servants or agents.

or for or in respect of all claims, demands, proceedings, damages, costs, charges and expenses in respect thereof or in relation thereto.

5. Not used

6. No allowance of time by the *Client* hereunder or by the *Contractor* under the subcontract nor any forbearance or forgiveness in or in respect of any matter or thing concerning this Agreement or the subcontract on the part of the *Client* or the *Contractor*, nor anything that the *Client* or the *Contractor* may do or omit or neglect to do, shall in any way release the Noise Barrier Works Subcontractor from any liability under this Agreement.

7. The Noise Barrier Works Subcontractor agrees that it will not without first giving the *Client* not less that twenty-one (21) days' prior notice in writing exercise any right it may have to terminate the subcontract or treat the same as having been repudiated by the *Contractor* or withhold performance of its obligations, duties and undertakings under the subcontract.

8. (1) In the event that the contract or the employment of the *Contractor* under the contract is terminated for any reason whatsoever and if so requested by the *Client* in writing within twenty-one (21) days of such termination, the Noise Barrier Works Subcontractor shall carry out and complete its obligations under this Agreement and shall enter into a novation agreement with the *Client* and the *Contractor* in which the Noise Barrier Works Subcontractor will undertake inter alia to perform the subcontract and be bound by its terms and conditions as if the *Client* had originally been named as a contracting party in place of the *Contractor*. The said novation agreement will be in such form as the *Client* may reasonably require.

(2) In the event that the *Client* does not require the Noise Barrier Works Subcontractor to enter into a novation agreement as required by sub-clause (1) of this Clause, the Noise Barrier Works Subcontractor shall have no claim whatsoever against the *Client* for any damage, loss or expense howsoever arising out of or in connection with this Agreement.

9. (a) Except in respect of those intellectual property rights referred to in sub-clause (c), the Noise Barrier Works Subcontractor hereby undertakes and warrants to the *Client* that it is the sole legal and beneficial owner of all intellectual property rights subsisting in the design of the Noise Barrier Works.

(b) Upon the issue of the certificate of Completion of the *works* or after termination of the *Contractor's* obligation to Provide the Works, or termination, abandonment or breach of contract, or when the Noise Barrier Works Subcontractor for any reason ceases to be employed in connection with the Noise Barrier Works, or termination, abandonment or breach of subcontract ,the Noise Barrier Works Subcontractor shall be deemed to have granted to the *Client* and the subsequent owners or occupiers of the *works* free of all fee a transferable, non-

exclusive and irrevocable licence (carrying the right to grant sub-licences) to utilize the design executed by the Noise Barrier Works Subcontractor of the Noise Barrier Works in connection with the execution of the *works* and/or the subsequent alteration, extension and maintenance thereof and for no other purpose whatsoever without the prior written agreement of the Noise Barrier Works Subcontractor.

(c) To the extent that beneficial ownership of any intellectual property rights in the design executed by the Noise Barrier Works Subcontractor of the Noise Barrier Works is vested in anyone other than the Noise Barrier Works Subcontractor, the Noise Barrier Works Subcontractor shall procure that the relevant beneficial owner shall grant a licence together with an indemnity to the *Client* and the subsequent owners or occupiers of the *works* upon the same terms mutatis mutandis as those set out in sub-clauses (b) and (f) respectively.

(d) For the avoidance of doubt, any licence and indemnity granted pursuant to this Clause shall not be determined if the Noise Barrier Works Subcontractor shall for any reason cease to be employed in connection with the Noise Barrier Works.

(e) The Noise Barrier Works Subcontractor shall at the request of the *Client*, do such acts and execute all such deeds and documents (or procure that the same be done or executed) as the *Client* or the subsequent owners or occupiers of the *works* may require for vesting in the *Client* and the subsequent owners or occupiers of the *works* all or any of the rights referred to in this Clause. The Noise Barrier Works Subcontractor shall bear its own costs and expenses in relation thereto.

(f) The Noise Barrier Works Subcontractor hereby indemnifies the *Client* against all claims, proceedings, actions, damages and losses incurred or sustained by the *Client* arising from the use of the design of the Noise Barrier Works (irrespective of whether the intellectual property rights therein are owned by the Noise Barrier Works Subcontractor or other parties) by the *Client* for purposes referred to in sub-clause (b). The Noise Barrier Works Subcontractor shall at its own cost grant a like indemnity to the subsequent owners or occupiers of the *works* upon request of the *Client.*

10. In the event of any ambiguity or conflict between the terms of the subcontract and this Agreement, the terms of this Agreement shall prevail.

11. The provisions of this Agreement shall be without prejudice to and shall not be deemed or construed so as to limit or exclude any rights or remedies which the *Client* may have against the Noise Barrier Works Subcontractor whether in tort or otherwise.

12. The *Client* shall be entitled to assign the benefit of this Agreement at any time without the consent of the Noise Barrier Works Subcontractor being required.

13. All documents arising out of or in connection with this Agreement shall be served:-

(1) upon the Client at]
marked for the attention of [ ]; and
(2) upon the Noise Barrier Works Subcontractor, at [ ] Hong Kong.

14. The *Client* and the Noise Barrier Works Subcontractor may change their respective nominated addresses for service of documents to another address in Hong Kong but only by prior written notice to each other. All demands and notices must be in writing.

15. This Agreement shall be governed by and construed in all respects according to the laws for the time being in force in the Hong Kong Special Administrative Region.

16. (a) Any dispute or difference of any kind whatsoever between the *Client* and the Noise Barrier Works Subcontractor arising under, out of or in connection with this Agreement shall be referred to arbitration in accordance with the provisions of the Arbitration Ordinance or any statutory modification thereof for the time being in force and any such reference shall be deemed to be a submission to arbitration within the meaning of such Ordinance. All the provisions in Schedule 2 to the Arbitration Ordinance shall apply to any arbitration instituted in accordance with this Clause. For the purpose of this Clause, "Arbitration Ordinance" means the Arbitration Ordinance (Cap. 609) or any statutory modification thereof for the time being in force. The Government of the Hong Kong Special Administrative Region Construction Adjudication Rules (the Adjudication Rules) or any modification thereof being in force at the date of such request shall apply to any arbitration instituted in accordance with this Clause 16 unless the parties agree to the contrary. Notwithstanding Article 8.2 and Article 13 of the Arbitration Rules, the place of meetings and hearings in the arbitration shall be Hong Kong Special Administrative Region unless the parties otherwise agree.

(b) Article 26 of the Arbitration Rules shall be deleted and replaced by:

26.1 The arbitration proceedings are private and confidential between the parties and the arbitrator. No information relating to the arbitration shall be disclosed by any person without the written consent of each and every party to the arbitration. Disclosures are permissible where disclosures –

(a) are necessary for implementation or enforcement;

(b) are required by the parties' auditors or for some other legitimate business reason;

(c) are required by any order of the courts of Hong Kong or other judicial tribunal;

(d) which are necessary for the making of claims against any third party or to defend a claim brought by any third party.

26.2 Notwithstanding Article 26.1 and subject to the following provisions, the party comprising the Government of the Hong Kong Special Administrative Region (the Government party) may disclose the outline of any dispute with the other party and the outcome of the arbitration to the Public Accounts Committee of the Legislative Council upon its request. Before disclosures are made to the said Committee, the Government party shall inform the other party. Disclosures shall not be made to the said Committee before expiry of the first 6 months from the date of the outcome of the arbitration without the written consent of the other party but such consent shall not be unreasonably withheld. The other party shall be deemed to have given his consent to disclosures on the expiry of the first 6 months from the date of the outcome of the arbitration. The other party may, if he considers necessary to protect the sensitive nature of certain information relating to him, request the Government party to disclose such specified information to the said Committee strictly on a confidential basis. If the Government party considers that there are legitimate grounds to accede to the other party's request, the Government party shall convey the request to the said Committee for its consideration.

(c) In the event that the *Client* is of the opinion that the issues in such a dispute or difference will or may touch upon or concern a dispute or difference arising under out of or in connection with the contract (the contract Dispute) then provided that an arbitrator has not already been appointed pursuant to Clause 16(a), the *Client* may by notice in writing to the Noise Barrier Works Subcontractor require and the Noise Barrier Works Subcontractor shall be deemed to have consented to referral of such dispute or difference to the arbitrator to whom the contract Dispute has been or will be referred.

(d) Save as expressly otherwise provided, the arbitrator shall have full power to open up, review and revise any decision, opinion, instruction, notice, order, direction, withholding of approval or consent, determination, certificate, statement of objection, assessment or valuation of the *Project Manager*, *Supervisor* or the *Contractor* relating to the dispute or difference.

* - Delete if not applicable.